IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH
COURT-IV

COMPANY PETITION (CAA) NO. 77/ND/2023
CONNECTED WITH
COMPANY APPLICATION (CAA) NO. 37/ND/2023

Section 230-232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016

IN THE MATTER OF:
YG ESTATES PRIVATE LIMITED
...TRANSFEROR COMPANY NO. 1/PETITIONER COMPANY NO. 1
AND
SOFTGATE TECHNOLOGIES PRIVATE LIMITED
...TRANSFEROR COMPANY NO. 2/PETITIONER COMPANY NO. 2
AND
SHARDA ISPAT ROLLERS PRIVATE LIMITED
...TRANSFEROR COMPANY NO. 3/PETITIONER COMPANY NO. 3
AND
ROMANO FASHIONS PRIVATE LIMITED
...TRANSFEROR COMPANY NO. 4/PETITIONER COMPANY NO. 4
AND
MAHALAXMI CASTLES AND VILLAS PRIVATE LIMITED
...TRANSFEREE COMPANY/PETITIONER COMPANY NO. 5

...PETITIONERS

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Delivered on: 01.06.2026

CORAM:
SHRI MANNI SANKARIAH SHANMUGA SUNDARAM
HON'BLE MEMBER (JUDICIAL)

SHRI ATUL CHATURVEDI
HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Petitioner: Mr. Saurabh kalia, Ms. Laxmi Chaudhary, Advocates
For the IT Deptt.: Ms. Sakshi Shairwal JSC, Mr. Vipul Agrawal
For the OL: Adv. Kartikeya Asthana, Adv. Srusti Mahakud
For the RD: Mr. Kishan Kumar, Assistant Director (RDNR)

ORDER

PER: ATUL CHATURVEDI, MEMBER (TECHNICAL)

1. The captioned Petition is a second motion Petition jointly filed by the Petitioner companies viz., YG Estates Private Limited (hereinafter referred to as Transferor Company No. 1/Petitioner Company No. 1) and Softgate Technologies Private Limited (hereinafter referred to as Transferor Company No. 2/Petitioner Company No. 2) and Sharda Ispat Rollers Private Limited (hereinafter referred to as Transferor Company No. 3/Petitioner Company No. 3) and Romano Fashions Private Limited (hereinafter referred to as Transferor Company No. 4/Petitioner Company No. 4) and Mahalaxmi Castles and Villas Private Limited (hereinafter referred to as Transferee Company/Petitioner Company No. 5) under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Scheme of Amalgamation (hereinafter referred to as the "Scheme").

2. As has been stated in the Petition, the Transferor Company No. 1/Petitioner Company No. 1 i.e. YG Estates Private Limited was incorporated on 23rd April, 2001 under the provisions of the Companies Act, 1956 bearing CIN: U45201DL2001PTC110536 having its registered office at Palm Green, Khasra No. 21/30, Village Bakoli near Hamidpur Turn, Main G.T. Karnal Road New Delhi-110036. The Authorized Share Capital of the Transferor Company No. 1/Petitioner Company No. 1 is Rs. 2,00,00,000/- divided into 20,00,000 Equity shares of Rs. 10/- each. The present Issued, Subscribed and Paid-up Share Capital is Rs. 27,30,300/- divided into 2,73,030 Equity Shares of Rs. 10/- each.

3. The Transferor Company No. 2/Petitioner Company No. 2 i.e. Softgate Technologies Private Limited was incorporated on 15th March, 2000, under the provisions of the Companies Act, 1956 bearing CIN: U72900DL2000PTC104470 having its registered office at Palm Green, Khasra No. 21/30, Village Bakoli near Hamidpur Turn, Main G.T. Karnal Road New Delhi-110036. The Authorized Share Capital of the Transferor Company No. 2/Petitioner Company No. 2 Rs. 3,50,00,000/- divided into 35,00,000 Equity shares of Rs. 10/- each. The present Issued, Subscribed and Paid-up Share Capital is Rs. 3,15,24,850/- divided into 31,52,485 Equity Shares of Rs. 10/- each.

4. The Transferor Company No. 3/Petitioner Company No. 3 i.e. Sharda Ispat Rollers Private Limited was incorporated on 8th June, 2005, under the provisions of the Companies Act, 1956 bearing CIN: U74990DL2005PTC137334 having its registered office at Palm Green, Khasra No. 21/30, Village Bakoli near Hamidpur Turn, Main G.T. Karnal Road New Delhi-110036. The Authorized Share Capital of the Transferor Company No. 3/Petitioner Company No. 3 is Rs. 1,20,00,000/- divided into 12,00,000 Equity shares of Rs. 10/- each. The present Issued, Subscribed and Paid-up Share Capital is Rs. 1,05,28,950/- divided into 10,52,895 Equity Shares of Rs. 10/- each.
5. The Transferor Company No. 4/Petitioner Company No. 4 i.e. Romano Fashions Private Limited was incorporated on 11th July, 1996, under the provisions of the Companies Act, 1956 bearing CIN: U18101DL1996PTC080311 having its registered office at Palm Green, Khasra No. 21/30, Village Bakoli near Hamidpur Turn, Main G.T. Karnal Road New Delhi-110036. The Authorized Share Capital of the Transferor Company No. 4/Petitioner Company No. 4 is Rs. 2,00,00,000/- divided into 20,00,000 Equity shares of Rs. 10/- each. The present Issued, Subscribed and Paid-up Share Capital is Rs. 24,92,000/- divided into 2,49,200 Equity Shares of Rs. 10/- each.
6. The Transferee Company/Petitioner Company No. 5 i.e. Mahalaxmi Castles and Villas Private Limited was incorporated on 18th May, 2005,

under the provisions of the Companies Act, 1956 bearing CIN: U45201DL2005PTC136394 having its registered office at Palm Green, Khasra No. 21/30, Village Bakoli near Hamidpur Turn, Main G.T. Karnal Road New Delhi-110036. The Authorized Share Capital of the Transferee Company/Petitioner Company No. 5 is Rs. 25,00,00,000/- divided into 2,50,00,000 Equity shares of Rs. 10/- each. The present Issued, Subscribed and Paid-up Share Capital is Rs. 23,63,83,030/- divided into 2,36,38,303 Equity Shares of Rs. 10/- each.

7. The Petitioner Companies submit that the proposed scheme of Amalgamation of the Transferor Companies with the Transferee Company would have the following benefits:

    a) The amalgamating Transferor Companies and the Transferee Company will give the consolidated company better finances, facilitate adequate resource mobilization to sustain growth.

    b) Strengthening and consolidating the position of the Transferee Company and enabling it post-merger to participate more vigorously and profitably in an increasingly competitive and liberalized market.

    c) Enabling better leverage of facilities, infrastructure and human resources and for better administration.

d) Augmenting and strengthening core business of the Transferee Company and resulting in its enhancement of the shareholder's value of Transferee Company.

e) Enabling the Transferee Company to raise funds on better terms. The synergy of the amalgamation will improve operational efficiency, integrated functioning and will enhance the share value for the benefit of shareholders of the existing entities.

f) The amalgamation of Transferor Companies into the Transferee Company will result in reduction of overheads, administrative, managerial and other expenditure and bring about operational rationalisation, organisational efficiency, and optimum utilization of various resources.

g) It will result in significant reduction in the multiplicity of legal and regulatory compliances required at present to be carried out by the Transferor Companies and the Transferee Company and also avoid duplication of administrative functions and eliminate multiple record keeping.

h) The said scheme is beneficial to the Petitioner companies, their shareholders, creditors, employees and all concerned and will enable these Companies to achieve and fulfil their

objectives more efficiently and economically and the value of the shares of the combined entity shall enhance the shareholders' value by becoming a part of a stronger operating entity, rationalisation of inter-company transactions etc.

8. The appointed date as specified in the Scheme of Amalgamation is 1st April, 2022 or such other date as may be approved by the National Company Law Tribunal (NCLT).

9. From the record, it is seen that the first motion joint application seeking direction for dispensation/convening the meeting of shareholders, secured creditors and unsecured creditors was filed before this Tribunal vide C.A. (CAA) NO. 37/ND/2023. This Tribunal vide order dated 27.09.2023 had passed the following directions:

   i. The requirement of convening/holding the meeting of equity shareholders of the Transferor Companies and Transferee Company were dispensed with in view of consent affidavits from all the equity shareholders.

   ii. The requirement of convening/holding the meeting of unsecured creditors of the Transferor Companies were dispensed with in view of consent affidavits from the unsecured creditors.

iii. Since there were no secured creditors of the Transferor Companies, the requirement of convening/holding the meeting of did not arise.

iv. The requirement of convening/holding the meeting of secured creditors of the Transferee Company was dispensed with in view of consent affidavits of 99.9% secured creditors.

v. The requirement of convening/holding the meeting of unsecured creditors of the Transferee Company did not arise as complete debt of the unsecured creditors amounting to Rs. 60,48,241/- had been paid as on 17.01.2023.

10. That as per the Scheme of Amalgamation, the share exchange ratio of the company:

i. Transferor Company No. 1: 84 (Eighty-Four) equity shares of Transferee Company for every 10 fully paid shares of Transferor Company No. 1.

ii. Transferor Company No. 2: 15 (Fifteen) equity shares of Transferee Company for every 5 equity shares of Transferor Company no. 2.

iii. Transferor Company no. 3: 633 (Six Hundred Thirty-Three) equity shares of Transferee Company for every 100 (Hundred) equity shares of Transferor Company no. 3.

iv. Transferor Company No. 4: 456 (Four Hundred Fifty-Six) equity shares of Transferee Company for every 5 equity shares of Transferor Company no. 4.

11. In the present second motion petition, vide order dated 28.11.2023, the Petitioner Companies were directed to carry out publication in two newspapers namely "Business Standard" English Edition and "Jansatta" Hindi Edition and to serve notices to the (i) Regional Director, Northern Region of Ministry of Corporate Affairs, (ii) Registrar of Companies, (iii) Income Tax Officer, (iv) Official Liquidator any such other Sectoral Regulators or Authorities.

12. It is seen from the record that the Petitioner Companies have filed an affidavit dated 30.01.2024 affirming compliance and disclosing that the petitioners have affected publication in "Financial Express" English Edition and "Jansatta" Hindi Edition both dated on 20.12.2023 and publication in "Business Standard" English Edition on 29.01.2024. In addition to the public notice, notices were served on the Regional Director (Northern Region) of Ministry of Corporate Affairs, (ii) Registrar of Companies, NCT of Delhi & Haryana, Official Liquidator, Income Tax Officer and any such other Sectoral Regulators or Authorities.

13. Pursuant to the notice issued, the Regional Director and Official Liquidator have filed their response/reply in the matter.

14. The Regional Director (RD) in its affidavit dated 08.04.2024 filed on 20.01.2025, as per the Report of RoC vide letter dated 09.02.2024 has made certain observations regarding the proposed scheme of Amalgamation among the Petitioner Companies. In response to the same, the Petitioner Companies have filed reply vide letter dated 31.07.2025 wherein the Petitioner Companies have given clarification to address the observations made by the Regional Director. The details of the same are given below:

S.No.	**Observation by the Regional Director vide affidavit dated 08.04.2024, as per the report of ROC vide letter dated 09.02.2024**	**Reply by the Petitioner Companies dated 31.07.2025**
1.	There is a significant crossholding of equity shares/investments between the Transferor companies and Transferee Company.	It may be noted that the Transferor Companies and Transferee Company are group Companies having cross holding of shares with common directors. It has specifically provided in the valuation report enclosed as ANNEXURE - 32 of the present petition. In terms of Scheme of Amalgamation, the cross holdings of shares among the Transferor and Transferee Companies would be cancelled on the registration of the Scheme [reference made to Para 65 at Pg. 369 of the present petition].
2.	The paper book of the application submitted with this office does not contain the copy of the proposed Scheme of Amalgamation/Merger. KR Hence, petitioner companies may be asked to provide the same.	Proposed Scheme of Amalgamation is an integral part of the present Company Petition and the same is annexed as ANNEXURE NO. - 31 to the present petition, which was duly served to the Regional Director office with complete attachments and acknowledged by the office of Regional Director. Copy of acknowledgment received from the office of Regional Director with respect to the advance

		service is enclosed herewith and marked as ANNEXURE - 2. Copy of the Scheme of Amalgamation is also enclosed herewith and marked as ANNEXURE 3
3.	As per financial statements of the Transferor Companies no. 1 to 4 for F.Y. 2021-22, it is seen that the companies have nil revenue from its operation since last two years. Hence the companies appear to be dormant u/s 455 of the Companies Act, 2013.	In regard to the said observation made by RD, it is stated that provisions of Section 455 of Companies Act, 2013 are not mandatory and is discretionary in nature for non - operational Companies. Therefore, not applying under Section 455 of the Companies Act, 2013, does not result in default of the provisions of Section 455 of the Companies Act, 2013.
4.	As per financial statements of the Transferor Companies no. 4 and Transferee Company, the companies have given loan and advances. Hence, companies may be asked to comply with the provisions of section 185 and 186 of the CA, 2013.	Petitioners herein states that no notice for default under Section 185 / 186 has been received by the Petitioner Companies and there is no default on part of Transferor Companies qua 185 / 186 or any other provisions of the Companies Act, 2013. However, if any penalties / prosecutions are initiated in future [so far no such proceedings are levied against Transferor Company No. 4], the Transferee Company and the directors of Transferor Company No. 4 undertake to defend the proceedings, if any, initiated by ROC and further undertake to comply with any penalties after exhausting all remedies available to it in law. The said undertaking is also in line with para 59 & 60 [reference made to page no. 366 & 367 of the petition] of the Scheme of Amalgamation.
5.	The Transferee Company may kindly be directed to comply with the provision of section 232(3)(i) of the Companies Act, 2013 in regard to fee payable on its revised authorized share capital, if applicable.	It may be noted that as per para 70 of the Scheme of Amalgamation which is enclosed as ANNEXURE - 31 of the present petition provides that the Transferee Company shall enhance the authorized share capital, if required, to accommodate the allotment of equity shares to the shareholders of Transferee Company in terms

		of the relevant provisions of the Companies Act, 2013.

15. Thus, the Petitioner Companies have duly replied to queries raised by the RD and vide order dated 23.09.2025 the RD has submitted that they have no further observation on behalf of the RD and have no objection in allowing this application. The Transferor Company No. 4 has also submitted an affidavit in response to the observation made by the RD, specifically undertaking that if any penalties / prosecutions are initiated in future [so far no such proceedings are levied against Transferor Company No. 4], the directors of Transferor Company No. 4 undertake to defend the proceedings, if any, initiated by ROC and further undertake to comply with any penalties after exhausting all remedies available to it in law.

16. The Official Liquidator has filed its report dated 15.02.2024, wherein no specific objection has been raised against the approval of the Scheme. It has been submitted in the report that the Official Liquidator has not received any complaint against the proposed Scheme of Amalgamation from any person/party interested in the Scheme and affairs of the aforesaid Transferor Companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest in terms of the provisions of the Companies Act, 2013.

17. This tribunal vide order dated 28.11.2023 directed the Authorities including the Income Tax Department to file their report within 30 days from the date of receipt of notice. Thereafter, vide order dated 13.08.2024 it was directed to the Income Tax Department to file report within three weeks, which was not complied with. There was no representation on behalf of the Income Tax Department on 19.11.2024, hence Income Tax Department was called "Absent" and was proceeded ex-parte vide order dated 19.11.2024.

18. The Transferee Company has filed undertaking-cum-affidavit on 30.10.2025 with regards to income tax dues stating that all Income Tax liabilities of the four Transferor Companies if any or arising in future post amalgamation shall be borne by the transferee Company subject to adjudication of any assessment, appeals or any other suit pending before Income Tax tribunals or before any other Court in accordance with applicable laws. It is further provided that any new and pending prosecutions, suits, appeals or other proceedings of whatever nature and any penalties arising thereunder, by or against the transferor companies, shall be transferred and vested with the transferee Company.

19. The Petitioner Companies have annexed the certificate issued by the statutory auditor confirming that the accounting treatment in the Scheme is in conformity with Section 133 of the Companies Act, 2013.

20. This Tribunal vide order dated 28.01.2026 sought clarification and directed the Petitioner Companies to file an appropriate additional affidavit in compliance of Section 230(2)(a) of the Companies Act, 2013. In compliance of order dated 28.01.2026, the Petitioner Companies filed additional affidavits on 06.02.2026 affirming that there are no investigation or proceedings pending against the respective petitioner companies under any of the provisions of the Companies Act, 1956/2013 and under any other Act or Acts and any Government Authority(s) or any other Statutory or Regulatory Body(s).

21. Since, the shareholders of the petitioner companies are the best judges of their interest, being fully conversant with market trends, therefore, their decisions are not supposed to be interfered with by the Tribunal for the reason that it is not proper on the part of the judicial function of the Tribunal to examine and evaluate entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will do not ordinarily go into the merits of the corporate decisions of companies as approved by their respective shareholders and creditors.

22. It has also been affirmed in the petition that the Scheme is in the interest of the Petitioner Companies including their shareholders, creditors, employees and all concerned. In view of the foregoing, upon

considering the approval accorded by the members and creditors of the Petitioner Companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

23. Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013 with the following directions:

    i. The Petitioners shall always remain bound to comply with the statutory requirements in accordance with law.

    ii. Notwithstanding the sanction, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

    iii. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

24. This Tribunal further directs with respect to the Transferor Companies and the Transferee Company, that:

i. The appointed date for the proposed scheme of amalgamation is 01.04.2022 or such other date as directed by this Tribunal. Having considered the time already elapsed and the fact that Accounts must have already been drawn for intervening period, we prescribe 01.04.2025 as the 'Appointed Date' for the proposed Scheme.

ii. Upon the sanction becoming effective from the appointed date i.e., 01.04.2025 as provided by this Tribunal, the Transferor Companies shall stand dissolved without undergoing the process of winding up.

iii. All contracts of the Transferor Companies which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favour of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Companies, the Transferee Company had been a party or beneficiary or obliged thereto.

iv. All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favourable

than those on which they are engaged by the Transferor Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits.

v. All liabilities of the Transferor Companies, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

vi. All proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

vii. Any person interested or affected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

25. Further, the Petitioner Companies shall within thirty days of the date of the receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such

certified copy being so delivered, the Transferor Companies shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

26. In compliance with the requirement of Section 232 (7) of the Act, the Transferee Company shall until the full implementation of the Scheme of Amalgamation shall file a statement every year in the Form CAA 8 along with the required fees with the Registrar of Companies as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

27. The Petition i.e., **C.P. (CAA) No. 77 of 2023 stands allowed** on the aforesaid terms and accordingly disposed of. Let copy of the order be served to the parties.

Sd/- **Sd/-**

(ATUL CHATURVEDI) **(MANNI SANKARIAH SHANMUGA SUNDARAM)**

MEMBER (TECHNICAL) **MEMBER (JUDICIAL)**